

Audit Program: \$7M International Remittance Discrepancy Investigation

Executive Presentation Overview

INVESTIGATION OBJECTIVES

Primary Goals

- **Quantify Financial Impact** - Reconstruct complete transaction flows to determine exact loss amount
- **Identify Control Failures** - Evaluate internal controls against COSO framework requirements
- **Assess Regulatory Compliance** - Review adherence to Bank of Ghana and international AML/CFT standards
- **Determine Root Causes** - Forensic analysis to identify fraud, operational errors, or systemic weaknesses

Success Metrics

- Recovery of disputed \$7 million or identification of legitimate explanations
 - Comprehensive control recommendations to prevent future occurrences
 - Full regulatory compliance documentation and reporting
 - Actionable remediation roadmap with implementation timelines
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AUDIT SCOPE & BOUNDARIES

Transaction Coverage

- **All international remittance transactions** during investigation period
- **High-risk corridors** and counterparty relationships requiring enhanced scrutiny
- **Six months before and after** primary discrepancy period for pattern analysis
- **Related party transactions** and affiliated entity relationships

System & Process Review

- Core banking platforms and remittance processing systems
- SWIFT messaging authentication and correspondent banking relationships
- Compliance screening tools and regulatory reporting mechanisms
- Nostro/vostro account reconciliations and settlement procedures

Regulatory Framework Compliance

- Ghana Foreign Exchange Act 2006 (Act 723) requirements
- Payment Systems and Services Act 2019 (Act 987) licensing compliance
- Anti-Money Laundering Act 2008 (amended 2020) reporting obligations
- FATF Recommendation 16 on cross-border payment transparency

RISK ASSESSMENT FRAMEWORK

Inherent Risk Factors

- **High fraud risk** due to cash-intensive, cross-border operations
- **Geographic risk** varies by remittance corridor and destination countries
- **\$7M magnitude** suggests potential systemic issues beyond isolated incidents
- **Multi-currency environment** creates foreign exchange and timing risks

Control Risk Evaluation

- **COSO Framework application** across five internal control components
- **30% effectiveness reduction** typically observed in cross-border operations
- **Heightened regulatory scrutiny** following recent Bank of Ghana enforcement actions
- **Technology limitations** in real-time transaction monitoring and reporting

Detection Risk Management

- **Professional skepticism** maintained per ISA 240 fraud investigation standards
 - **Specialized forensic tools** required for high-volume, multi-currency analysis
 - **Cross-border evidence gathering** faces legal and practical obstacles
 - **12-18 week timeline** constrains exhaustive testing, requiring risk-based sampling
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DATA COLLECTION & ANALYSIS STRATEGY

Digital Evidence Acquisition

- **Immediate preservation** of all electronic records with forensic imaging
- **Hash verification** using SHA-256 algorithms to ensure data integrity
- **Chain of custody protocols** for all evidence collection and handling
- **System access logs** and user activity records for administrator actions

Advanced Analytics Deployment

- **ACL Analytics/IDEA** for 100% population testing without sampling limitations
- **Benford's Law analysis** on transaction amounts, fees, and exchange rates
- **Machine learning algorithms** for transaction risk classification and outlier detection
- **Statistical analysis** using z-scores and Mahalanobis distance calculations

Cross-Border Information Gathering

- **Mutual Legal Assistance Treaty (MLAT)** channels for international data requests
 - **Egmont Group framework** for Financial Intelligence Unit information sharing
 - **Correspondent bank confirmations** for transaction details and settlement verification
 - **Professional translation services** for non-English documentation
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TESTING PROCEDURES & METHODOLOGY

Statistical Sampling Approach

- **Stratified random sampling** with 95% confidence level and 5% precision
- **100% examination** of high-value transactions exceeding \$500,000
- **Risk-based targeting** of transactions to high-risk jurisdictions and complex routing
- **Minimum sample size of 385 transactions** for statistical validity

Substantive Testing Procedures

- **Complete transaction reconstruction** from initiation through settlement
- **Authorization testing** for proper approval chains and override documentation
- **Exchange rate verification** against contemporaneous market benchmarks
- **Fee analysis** examining customer charges and correspondent bank fees
- **Settlement timing analysis** for delays, acceleration, or cut-off manipulation

Analytical Procedures

- **Revenue analytics** correlating fee income with transaction volumes by corridor
- **Ratio analysis** calculating key metrics including average transaction sizes
- **Seasonal pattern analysis** distinguishing normal cycles from anomalous activity
- **Regression analysis** establishing expected relationships between variables



PROJECT TIMELINE & PHASES

Phase 1: Investigation Planning (Weeks 1-3)

- Engagement planning meetings with senior management and board
- Multi-disciplinary team assembly and Ghana regulatory briefings
- Risk assessment workshops identifying focus areas and high-risk transactions
- Data request protocols and legal clearances for cross-border information
- Preliminary analytical procedures on available data

Phase 2: Fieldwork Execution (Weeks 4-11)

- **Transaction testing** of stratified samples across all risk categories
- **30-40 stakeholder interviews** including management, operations, and compliance staff
- **Digital forensics analysis** of system logs, database modifications, and user access
- **Correspondent bank confirmations** and external verification procedures
- **Regulatory reporting verification** and internal control testing

Phase 3: Analysis & Validation (Weeks 12-15)

- **Findings synthesis** from multiple workstreams into coherent conclusions
- **Root cause analysis** determining fraud, operational failures, or systemic issues
- **Financial impact quantification** including direct losses and remediation costs
- **Quality review** ensuring findings meet ISA 500 evidence standards
- **Management response** collection and follow-up testing

Phase 4: Reporting & Recommendations (Weeks 16-18)

- **Final report preparation** following international standards and Ghana requirements
 - **Regulatory notifications** to Bank of Ghana and Financial Intelligence Centre
 - **Board presentation** with key findings and critical recommendations
 - **Remediation planning** with specific actions and implementation timelines
 - **Follow-up audit scheduling** for control implementation verification
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INVESTMENT ANALYSIS

Professional Fee Structure

- **Senior Forensic Partners:** \$450-650/hour × 40-60 hours = \$18K-\$39K
- **Project Managers:** \$350-500/hour × 120-180 hours = \$42K-\$90K
- **Senior Forensic Accountants:** \$275-400/hour × 400-600 hours = \$110K-\$240K
- **Data Analysts/Tech Specialists:** \$200-350/hour × 300-500 hours = \$60K-\$175K
- **International Legal Counsel:** \$400-600/hour × 40-80 hours = \$16K-\$48K

Additional Cost Components

- **Technology licensing** (ACL Analytics, IDEA, specialized tools): \$15K-\$25K
- **International travel** for team members and expert witnesses: \$20K-\$40K
- **Translation services** for non-English documents: \$10K-\$20K
- **External confirmations** and third-party verifications: \$5K-\$15K
- **Court reporting/litigation support** (if required): \$25K-\$50K

TOTAL INVESTMENT RANGE: \$350,000 - \$675,000

DELIVERABLES & REPORTING

Executive Report Components

- **5-10 page executive summary** for board and senior management
- **25-40 page detailed findings** with transaction analysis and control testing results
- **Financial impact quantification** with business implications
- **Management action plan** with specific steps and implementation timelines

Regulatory Reporting Requirements

- **Bank of Ghana notifications** for foreign exchange violations and control deficiencies
- **Financial Intelligence Centre reports** within 24-hour statutory deadlines
- **International regulatory coordination** through proper central bank channels
- **Self-disclosure considerations** balancing cooperation benefits against admission risks

Management Recommendations

- **Control deficiency remediation** with implementation priority matrix
- **Cost-benefit analysis** supporting technology investments and process improvements
- **Success metrics** defining measurable outcomes for progress tracking
- **Follow-up audit requirements** specifying verification procedures

VALUE PROPOSITION & ROI

Financial Recovery Potential

- **\$7 million disputed amount** recovery or legitimate explanation
- **14:1 potential ROI ratio** based on investigation investment
- **Prevention of future losses** through systematic control improvements
- **Regulatory penalty avoidance** through proactive compliance demonstration

Operational Benefits

- **Enhanced regulatory compliance** capabilities and reporting accuracy
- **Strengthened internal controls** across international remittance operations
- **Improved stakeholder confidence** in cross-border payment integrity
- **Risk mitigation** through comprehensive control environment assessment

Strategic Advantages

- **Regulatory relationship preservation** with Bank of Ghana and international partners
 - **Industry reputation protection** in Ghana's \$6.65 billion remittance market
 - **Competitive advantage** through demonstrated compliance and control excellence
 - **Future audit readiness** with established procedures and documentation
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CRITICAL SUCCESS FACTORS

Team Requirements

- **Multi-disciplinary expertise** combining forensic accounting, technology, and legal skills
- **Ghana regulatory knowledge** and international compliance experience
- **Independence and professional skepticism** throughout investigation process
- **Cross-border coordination** capabilities with time zone and language considerations

Technology & Tools

- **Advanced forensic software** for comprehensive transaction analysis
- **Secure data handling** protocols maintaining evidence integrity
- **Real-time collaboration** platforms for distributed team coordination
- **Specialized translation** and documentation services

Stakeholder Management

- **Continuous communication** with management, board, and regulatory authorities
- **Transparent progress reporting** with regular milestone updates
- **Regulatory liaison** maintaining cooperative relationships throughout investigation
- **Quality control** ensuring all findings meet international audit standards